



STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Daniel Miller-Moran

Of

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Email: dmillermoran@vtown.com.au

Prepared on:

15th of June 2018

By your Adviser:

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What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

15/06/2018

Daniel Miller-Moran
35 Monash Street
Maribyrnong VIC 3032

Dear Daniel,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees and any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Structure of Current Investments

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments we recommend as part of our advice you are entitled to a 14 day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

Your goals and objectives are to:

- Undertake a review of your current Investments.
- Explore options as to the best use of your surplus funds.

Recommendation Overview

Considering your stated goals and objectives, current asset allocation within your investment fund and age we recommend that:

- Daniel, close down your existing AMP North Fund and reinvest into the recommended wholesale platform with a “High Growth” portfolio.
- Invest your existing surplus funds within the recommended wholesale platform.

Anticipated Outcomes

Following our recommendations, we anticipate that:

- **There is an estimated fee saving of \$1,017 per annum (relevant to your risk profile) when your investment balance is reinvested in the recommended platform.**
- Your capital is invested within the recommended wholesale platform consistent with your *High Growth* investor risk profile.
- You will have access to a wide range of investment options.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Title	Mr
First Name	Daniel
Surname	Miller-Moran
Gender	Male
Date of Birth	17/01/1991
Age Last Birthday	27

Financial Position

The following is a table of your current financial position.

ASSETS

Assets	
AMP North Investment	\$308,500
Cash	\$290,000
Investment Property - Spotswood	\$900,000
Total Assets	\$1,498,500

Superannuation Assets

Australian Super	\$10,000
Total Assets	\$10,000

Total ASSETS	\$1,508,500
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LIABILITIES

Investment Property Loan	\$260,000
Total Liabilities	\$260,000

NET WORTH	\$1,248,500
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Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Based upon your responses to the Risk Profile Questionnaire, it was determined that you can be classified as a 'High Growth' investor in regard to your investments.

Typically, a **High Growth** investor has the following characteristics:

- A High Growth investor ignores income and capital preservation in the short term in order to maximise their opportunities for capital growth over an 8 year plus time frame.
- Their portfolio would typically comprise of Australian and International Shares and Property.

A High Growth investor will typically diversify their investment in the following manner:

Australian Shares	51%
International Shares	29%
Property	20%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property).

By covering all primary investment markets the risks and volatility of your investment can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth.

If you feel the above investor profile does not reflect your attitude as an investor, or the recommended portfolio contained in this report is too aggressive or conservative, please let me know so I may adjust my recommendations accordingly.

Existing Investments

Daniel, your Managed Investment Fund is currently invested with AMP North.

Recommendations:

Considering your stated goals and objectives, current asset allocation within your existing investment fund and age we recommend that:

- Daniel, close down your existing AMP North Fund and reinvest into the recommended wholesale platform with a “High Growth” portfolio.
- Invest your existing surplus funds within the recommended wholesale platform.

Benefits:

- **A reduction in the total amount of fees incurred when you reinvest the balance of your existing investment fund to the recommended fund.**
- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to a range of investment options which cannot be accessed in your current funds.

Risks:

- The recommended investment’s performance is subject to market fluctuations.
- Investment performance is not guaranteed.

Replacement of an Existing Product

Type of Fee or Cost	AMP North	Colonial Wholesale Investment Fund
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer.	0.47% p.a. Plus \$91 p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser.	Nil	0.40% p.a.
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	1.34% p.a.	1.21% p.a.
Annual average cost* - Total \$308,500 investment	\$5,674 p.a.	\$4,966 p.a.
Investment Costs – Relevant to Your Risk Profile	1.44% p.a.	1.21% p.a.
Annual average cost – Relevant to Your Risk Profile (on same balance as above)	\$5,983 p.a.	\$4,966 p.a.

*The figures in the table above do not reflect an “apples for apples” comparison, because each individual fund is invested in different options with different investment mixes.

Outcomes Post Recommendation:

- There is an estimated fee saving of \$1,017 per annum (relevant to your risk profile) when the balance is reinvested in the recommended fund.
- Your monies are invested in line with your risk preference.

Proposed Portfolio - Historical performance

AMP North^	1 year	3 years	5 years	Since inception	Inception date
Existing Portfolio	8.47%	N/A	N/A	8.63%	9/1/2017

^Historical average returns are as at 30th April 2018.

Colonial Wholesale Investment Fund*							
	% of portfolio	1 year		3 years		5 years	
BT Wholesale Core Australian Share	13.00%	10.34%	1.34%	6.89%	0.90%	9.26%	1.20%
Fidelity Wholesale Australian Equities	13.00%	4.52%	0.59%	5.41%	0.70%	7.86%	1.02%
Perennial Wholesale Value Australian Share	13.00%	2.80%	0.36%	2.99%	0.39%	6.54%	0.85%
CFS Wholesale Small Companies - Core	12.00%	18.38%	2.21%	12.26%	1.47%	14.16%	1.70%
BT Core Wholesale Global Share Fund	10.00%	12.16%	1.22%	8.53%	0.85%	16.30%	1.63%
Platinum Wholesale International	10.00%	20.26%	2.03%	9.69%	0.97%	15.90%	1.59%
MFS Wholesale Global Equity	9.00%	9.07%	0.82%	8.56%	0.77%	15.88%	1.43%
BT Wholesale Property Investment	7.00%	0.54%	0.04%	6.52%	0.46%	8.88%	0.62%
CFS WS Global Listed Infrastructure	6.00%	1.02%	0.06%	6.50%	0.39%	10.94%	0.66%
CFS WS Global Property Securities	7.00%	6.67%	0.47%	3.26%	0.23%	7.11%	0.50%
	100.00%		9.13%		7.13%		11.20%

*Historical average returns are as at 30th April 2018.

Investments & Future Strategy

Daniel, you currently have the following investments in your personal name:

AMP North	\$308,500
Cash	\$290,000

- You seek advice with respect to the best use of these funds.

Considerations – Part 1:

- The recommended wholesale platform has an estimated fee saving of \$1,017 per annum (relevant to your risk profile) should you reinvest into the recommended fund.
- The recommended wholesale platform has produced a higher 12-month return relative to your existing AMP North fund.

Recommendation – Part 1:

- Daniel, in light of the above considerations we recommend to close down your existing AMP North Fund and reinvest into the recommended wholesale platform with a “High Growth” portfolio.

Considerations – Part 2:

- Daniel, you currently have an investment property loan of \$260,000 in your personal name paying an interest-only rate of 4.0% per annum.
 - Option 1: Use your surplus funds to pay down your debt and hence reduce your annual deductible interest repayments by **\$10,400** per annum.
 - Option 2: Use your surplus funds to invest in the recommended wholesale platform (in addition to your existing investment monies) within a diverse portfolio in line with your investor risk profile.

The recommended fund's 5-year average historical returns have been 11.20% per annum (or a return of **\$29,120** p.a. on a \$260,000 investment).

Recommendation – Part 2:

- Daniel, in light of the fact that you may achieve a greater benefit from investing in the recommended wholesale platform as opposed to paying down your debt, we recommend to invest your available cash (in addition to your existing investment monies) in the recommended wholesale platform within a diverse portfolio in line with your investor risk profile.

Benefits:

- There is an estimated fee saving of \$1,017 per annum (relevant to your risk profile) when your existing AMP North balance is reinvested in the recommended fund.
- The benefit from investing in the recommended wholesale platform may be greater than the benefit of paying down your debt.

Risks:

- Your monies are subject to market returns and performance is not guaranteed.
- Investment performance is not guaranteed.

Colonial First Choice Wholesale Investment

After considering your current asset allocation, we recommend your existing investment monies and surplus cash to be invested in a tailored portfolio within the Colonial First Choice Wholesale Investments Platform;

Proposed Portfolio

Investment Assets	Value
AMP North	\$0
Colonial First State Wholesale Investment	\$598,500
BT Wholesale Core Australian Share	\$77,805
Fidelity Wholesale Australian Equities	\$77,805
Perennial Wholesale Value Australian Share	\$77,805
CFS Wholesale Small Companies - Core	\$71,820
BT Core Wholesale Global Share Fund (AQR)	\$59,850
Platinum Wholesale International	\$59,850
MFS Wholesale Global Equity	\$53,865
BT Wholesale Property Investment	\$41,895
CFS WS Global Listed Infrastructure Securities	\$35,910
CFS WS Global Property Securities	\$41,895
Total Investment Assets	\$598,500

Investment Recommendation

Colonial FirstChoice Wholesale Investments

The FirstChoice Investments is a multi-manager investment solution which combines wide investment choice with a competitive and simple fee structure, backed up by a high standard of service support from Colonial First State.

A minimum total investment of \$5,000 is required to establish an account in FirstChoice Investments. A \$1,000 minimum initial balance is required if a regular investment plan is set up at commencement of the account. The minimum regular investment plan amount is \$100 per month.

Reasons and Benefits

The major features of the Colonial FirstChoice Investments are as follows:

Sector Specific Diversification

A strong range of investment options with access to more than one specialist manager within each asset class. This approach captures the competitive advantages of each manager. We anticipate this will provide higher returns than can be obtained from using diversified funds with, say, only one fund manager.

Simplicity

Consolidated reporting from Colonial First State.

Ease of Management

Automatic investment re-balancing and switching to help you easily and conveniently keep your investment strategies on track.

- We recommend that annual automatic rebalancing is elected.

Highly competitive and simple to understand fee structure

- No entry fee applies to this investment however, with your agreement; your Financial Adviser may wish to charge a one off fee for upfront costs.
- You can agree with your Financial Adviser to have an ongoing Adviser Service Fee for advice paid directly from your investment. The ongoing fee will be deducted monthly from your investment options.
 - **Our 0.40% p.a. Adviser Service fee will apply.**
- No switching fees or exit fees apply to this investment.

Colonial FirstChoice Management Fee

Colonial FirstChoice charges a Management Expense Ratio to cover their administration costs and the associated costs of managing your funds. Based on your current portfolio values, we have provided an estimation of the costs you will pay.

Colonial FirstState FirstChoice Wholesale Investment	MER %	Amount invested ① \$	Estimated fee \$
BT Wholesale Core Australian Share	1.05%	\$77,805	\$817
Fidelity Wholesale Australian Equities	1.11%	\$77,805	\$864
Perennial Wholesale Value Australian Share	1.06%	\$77,805	\$825
CFS Wholesale Small Companies - Core	1.15%	\$71,820	\$826
BT Core Wholesale Global Share Fund (AQR)	1.39%	\$59,850	\$832
Platinum Wholesale International	1.77%	\$59,850	\$1,059
MFS Wholesale Global Equity	1.28%	\$53,865	\$689
BT Wholesale Property Investment	1.12%	\$41,895	\$469
CFS WS Global Listed Infrastructure Securities	1.25%	\$35,910	\$449
CFS WS Global Property Securities	1.05%	\$41,895	\$440
	1.21%	\$598,500	\$7,270

① Colonial FirstChoice's Management Fee is calculated on the value of your total portfolio. As such we have used the proposed value of your Colonial First State Wholesale Investment funds to estimate your annual ongoing fee.

Please note that there is an additional adviser service fee of 0.40% that is paid by you.

What is paid to your adviser

Plan Fee

There is no plan fee for this Statement of Advice.

Upfront and Ongoing Fee Disclosure

The following is provided to assist you to gain a clear understanding of the payments and benefits that Pareto Group Pty Ltd, our associates and I will be entitled to receive for services provided to you, if you adopt the recommendations in this plan.

There is an entry fee payable of which the break-up of the fee is disclosed as follows:

		Total Fee Paid by Client		Total Payable to Financial Service Licensee/Financial Adviser and /or its Associates			
Investment Details	Amount Invested	(%)	(\$)	Initial (%)	Initial (\$)	Ongoing (%)	Ongoing (\$)
Colonial FirstChoice Wholesale Investment	\$598,500	Flat Fee	\$0	Flat Fee	\$0	0.40	\$2,394
Total	\$598,500		\$0		\$0		\$2,394

* The ongoing investment amount has been annualised to provide you with a clear picture of how fees are paid from your investment. Any regular contribution is placed into the individual underlying funds according to the % split of the allocation of your original investment.

The agreed Ongoing fee is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).